

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate) Transmission System))	Docket No. RM26-4-000
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COMMENTS OF ITC

Pursuant to the Notice Inviting Comments issued by the Federal Energy Regulatory Commission (“FERC” or “Commission”) on October 27, 2025,¹ ITC Holdings Corp. (“ITC”) submits the following comments. These comments address the Advanced Notice of Proposed Rulemaking (“ANOPR”), which was initiated following the Secretary of Energy’s (“Secretary”) directive, pursuant to section 403 of the Department of Energy Organization Act,² requiring the Commission to initiate rulemaking procedures. ITC respectfully requests the Commission’s consideration of these comments.

ITC is the parent company of International Transmission Company d/b/a *ITCTransmission*, Michigan Electric Transmission Company, LLC, ITC Midwest LLC and ITC Great Plains, LLC (the “ITC Companies”), each of which is an independent, stand-alone transmission company engaged exclusively in the development, ownership and operation of facilities for the transmission of electric energy in interstate commerce. ITC invests exclusively in the electric power transmission grid to improve electric reliability, facilitate access to low-cost generation, improve access to power markets, and reduce the overall cost of delivered electric power. As an independent transmission developer, ITC believes it brings a unique point of view

¹ *Interconnection of Large Loads to the Interstate Transmission System*, Notice Inviting Comments, Docket No. RM26-4-000 (Oct. 27, 2025).

² 42 U.S.C. § 7173.

that is to a large extent uncomplicated by the intra-company concerns that vertically integrated utilities may face in this proceeding.

ITC generally supports Secretary of Energy Wright’s effort to expedite and streamline the interconnection of large loads to the transmission system. Large loads such as data centers, manufacturing hubs, and electrification projects require robust transmission infrastructure to ensure reliability and economic growth. ITC is committed to working with FERC and stakeholders to achieve a regulatory framework that is efficient, transparent, and equitable for the interconnection of large loads. As reforms are evaluated, FERC should strive to avoid any potential unintended consequences and align rules in a way that streamlines interconnection.

Further, broadly speaking, the Commission should commit to policies – like Order 1920³ – that facilitate building a robust, future-ready transmission network. When a strong regional network exists, large loads can interconnect efficiently without costly delays. For example, Southwest Power Pool (“SPP”) should be commended for its regional planning efforts, including their Board of Directors’ approval of a \$8.6 billion regional transmission portfolio via its 2025 Integrated Transmission Plan (“ITP”) on the heels of a nearly \$8 billion 2024 ITP.⁴ These investments will offer a much stronger foundation for large loads seeking to interconnect to the grid. MISO provides another industry-leading example of this principle in practice. It has taken a leadership role in facilitating the transmission infrastructure needed to reliably support the

³ *Building for the Future Through Electric Regional Transmission Planning and Cost Allocation*, Order No. 1920, 187 FERC ¶ 61,068 at P 837 (2024), *set aside in part*, 189 FERC P 61,126 (2024), *clarified on denial of reh'g*, 191 FERC P 61,026 (2025).

⁴ *See SPP board advances regional transmission plan to keep pace with accelerating growth and ensure grid reliability*, Nov. 5, 2025, available at <https://spp.org/news-list/spp-board-advances-regional-transmission-plan-to-keep-pace-with-accelerating-growth-and-ensure-grid-reliability/>; *see also SPP board approves \$7.7 billion plan for transmission builds, upgrades*, Oct. 29, 2024, available at <https://www.spp.org/news-list/spp-board-approves-77-billion-planfor-transmission-builds-upgrades/>.

rapid growth of AI-driven data centers and other high-load facilities, ensuring the U.S. can compete globally.⁵ In December 2024, MISO’s Board of Directors approved Tranche 2.1, a \$22 billion portfolio that will build a high-voltage transmission backbone. In addition to ensuring core reliability needs in the region, Tranche 2.1 will support load growth from data centers, AI, cryptocurrency, and reindustrialization, and enable the Midwest to reliably support 587 TWh in increased demand now anticipated by 2044.⁶

II. COMMENTS ON SPECIFIC ASPECTS OF THE ANOPR

a. The Commission Should Increase the Proposed Load Size Threshold Significantly to Align Resources with Projects That Have Material Transmission System Impacts

ITC recommends the Commission consider raising the threshold for what constitutes a large load. In ITC’s experience, the proposed threshold of 20 MW may capture a range of projects that are unlikely to have significant impacts on the broader grid, and which may in fact be slowed by a process intended for the unprecedentedly large loads that are now being proposed for immediate construction. While a specific threshold will undoubtedly benefit from robust comments from impacted entities and further examination of the specific proposal the Commission puts forward, ITC offers that a threshold of 50 to 100 MW may be more appropriate and administratively manageable. This would also reflect the real operational differences between even quite large conventional retail and industrial load versus the recent proliferation of data center, crypto mining,

⁵ See MISO President and CEO John Bear letter to FERC Chairman David Rosner, Docket No. EL25-109-000 (filed Oct. 8, 2025) (noting “MISO’s Long-Range Transmission Planning (LRTP) process provides the transmission backbone that will be even more essential given the rising load forecasts. Large loads can site where the backbone transmission will be built and these large loads will be able to rely on the LRTP transmission as they build their upgrades through the MTEP or EPR processes”).

⁶ See MISO, MISO 2024 Load Forecast and Process Enhancements Workshop 16 (Dec. 2024), available at <https://cdn.misoenergy.org/20241218%20Medium%20and%20Long%20Term%20Forecast%20Workshop%20Presentation667265.pdf>.

or other extremely large loads which can shift tens or hundreds of megawatts in seconds. A higher demand threshold would align resources with projects that have material system impact and avoid unintended backlogs and delays.

b. FERC Should Ensure that Appropriate Cost Allocation Mechanisms are in Place to Accommodate Large Loads, While Also Maintaining Utilities' Fundamental Right to Make Investments and Earn on the Same

ITC recognizes cost allocation will be one of the most difficult issues to resolve in this proceeding, as is often the case, particularly as affordability concerns mount. Transmission system upgrades driven by large load additions can enhance system reliability, reduce congestion, and enable future generator and load integration. Of course, these benefits accrue system-wide, making it reasonable for utilities to recover costs through transmission rates rather than imposing disproportionate burdens on individual projects. Accordingly, the Commission and stakeholders should recognize the generational societal and economic opportunities large loads provide, which can put downward pressure on overall transmission rates.

However, if the Commission pursues any untested cost allocation approaches to accommodate the aggressive timing and size requirements of large loads, FERC must recognize and implement a foundational principle of the regulatory compact: public utilities are entitled to recover their costs and earn a reasonable return on prudent investments made to provide FERC jurisdictional service. Regardless of the cost allocation mechanism, utilities will be responsible for the safe and reliable operation of their facilities. Whether a particular transmission facility is paid for by 1, 100, or 100,000 customers, the utility's system ownership risks remain. Utility shareholders should not be forced to subsidize network upgrades or any other transmission system investment without a return on those investments. Utilities must be able to attract capital to facilitate these large load interconnections, and that requires a fair return on that capital.

c. FERC Should Not Afford an “Option-to-Build” to Large Load Customers

FERC should not afford the option to construct network upgrades to large load customers. Large loads also often involve critical infrastructure with heightened reliability and safety implications. Further, large loads typically have no ongoing operations and maintenance responsibility, reducing incentives for quality and reliability. Introducing third-party construction in these contexts increases coordination complexity and oversight burdens for transmission owners and providers without delivering meaningful efficiency gains. Retaining the option to build for large loads could create fragmented construction practices and inconsistent adherence to technical standards. Transmission owners bear ultimate responsibility for system integrity, yet they would be required to monitor and validate facilities built by entities with limited experience and limited enduring stake in system performance except as to their own particular point of interconnection. This misalignment of incentives poses unacceptable reliability risks. Ultimately, eliminating the option simplifies coordination, ensures consistent standards, and protects system integrity.

IV. CONCLUSION

ITC looks forward to working with the Commission to achieve the Administration’s goal of rapidly integrating large load resources. As this effort gets underway, ITC will continue to work diligently to prepare its grid for the demands of the future. This includes work aimed at immediate interconnection of new large loads on an expedited basis, as well as more forward-looking efforts to strengthen the grid more broadly, e.g., through MISO Tranche 1 and 2.1 and SPP ITP projects.

Respectfully submitted,

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